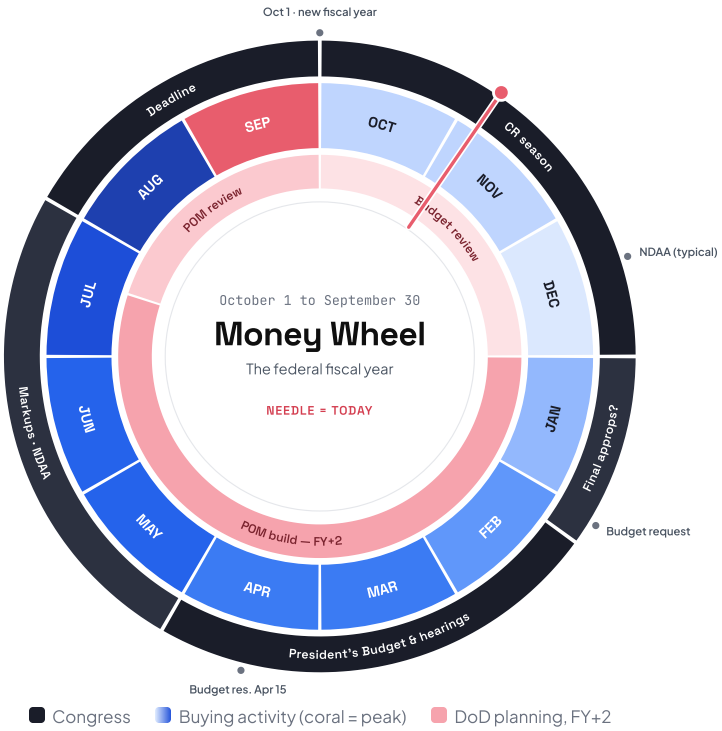
The Federal Money Wheel

Federal money runs on a clock most founders can't see. Three calendars, one wheel.



HOW TO READ IT

- **Outer ring, Congress:** CR season, final appropriations, the President's Budget, markups and the NDAA, then the September 30 deadline.
- **Middle ring, buyers:** darker means more contracting. September is typically the biggest month of the year.
- **Inner ring, DoD planning:** the budget for two years out is built January to July. Not in the plan means no line of your own.

DATES THAT MOVE MONEY

Oct 1	New fiscal year, usually under a CR
Dec	NDAA typically signed
1st Mon of Feb	President's Budget due (often late)
Apr 15	Budget resolution target
Jul 1	Q4 begins: the buying surge
Sep 30	One-year money expires; funding deadline

MONTH BY MONTH

MONTH	THE MOOD	YOUR MOVE	COMMON MISTAKE
Oct	New year, old money	Book meetings, not deals. Program offices have time to talk and nothing to spend.	Putting Q1 revenue in your forecast from a buyer who is on a CR.
Nov	Talk season	Turn October's meetings into a one-page problem statement your champion can forward internally.	Mistaking a friendly meeting for a funded requirement.
Dec	Deadlines and dark weeks	Read the NDAA for new authorities, pilot programs and reports that name your space. Each one is a reason to call.	Treating a December verbal “yes” as booked when funds aren't released.
Jan	Doors start opening	This is the window to get into the budget two years out. Give your champion a sized, costed requirement.	Waiting for the RFP. By the time it's public, the requirement was written months ago.
Feb	The budget drops	Read the J-books. Find program lines where your capability fits and the funding is growing.	Pitching a capability without naming the budget line that pays for it.
Mar	Spend plans go live	Engage Hill staff where you have a district or state footprint. Requests close soon.	Skipping RFIs because they aren't a real opportunity yet.
Apr	Planning for September	Ask contracting officers what they plan to award in Q4 and on which vehicle, then get onto that vehicle.	Assuming you'll be eligible for an award without the right vehicle.
May	Markup season	A line of report language can legitimize a whole program. Work with your champion and the Hill.	Ignoring markups because they aren't law yet. Report language steers money anyway.
Jun	Get ready-to-award	Have a ready-to-award package: draft statement of work, pricing, vehicle, points of contact.	Arriving in August with a slide deck instead of a priced, award-ready package.
Jul	The surge begins	Be easy to buy. Quote fast and use whatever vehicle they already have.	Insisting on your own contract terms in a quarter when speed wins.
Aug	Peak workload	Help, don't burden. Offer the facts the contracting officer needs: market research answers, sole-source rationale, capability statements.	Missing the office's internal cutoff, which comes weeks before September 30.
Sep	Use it or lose it	Answer your phone on September 29.	Assuming a September yes carries into October if the paperwork isn't done.

Numbers & deadlines

The thresholds, dates, clocks and lead times that decide how fast a federal deal can move. Keep it next to your pipeline.

DOLLAR THRESHOLDS

How the buy is run depends on the size

$15,000	Micro-purchase threshold: usually a purchase card, minimal competition
$350,000	Simplified acquisition threshold: faster, simpler procedures
Above $350K	Full procedures, unless an existing vehicle, OTA or SBIR Phase III applies

Thresholds as adjusted for inflation on October 1, 2025. Next scheduled adjustment: 2030.

FISCAL CALENDAR

The year runs October 1 to September 30

Q1 Oct–Dec	Usually under a CR; new starts wait
Q2 Jan–Mar	Appropriations often land; budget request in Feb
Q3 Apr–Jun	Plan Q4 awards; markups begin
Q4 Jul–Sep	The surge; one-year money expires Sep 30

Congress has passed all regular appropriations on time only four times since 1977.

COLORS OF MONEY

How long each type can be committed

O&M · 1 yr	Running things: services, sustainment, subscriptions, training
RDT&E · 2 yr	Prototypes, pilots and testing
PROC · 3 yr	Production quantities
MILCON · 5 yr	Buildings and facilities
RECON · to FY29	One-time mandatory defense money outside the annual cycle: a CR doesn't freeze it, and most must be obligated by Sep 30, 2029

CLOCKS AFTER THE AWARD

Miss these and you lose the option

3 days	Request a debrief (negotiated procurements), in writing
10 days	GAO protest deadline, generally from when you knew the basis
100 days	GAO decides a protest; work is often paused
12 months	SAM.gov registration renewal

Deadlines vary by procurement type. Check the solicitation and the rules that apply.

TYPICAL LEAD TIMES

From first conversation to award

~6 weeks	Purchase card buy under $15,000
~4–5 months	Order on an existing vehicle
~6 months	OTA prototype, or SBIR Phase III
12–18 months	Full and open competition
2+ years	A new line in the budget (program of record)

SECURITY & ELIGIBILITY

Pass/fail before anything else counts

CMMC L1	Annual self-assessment (federal contract information)
CMMC L2	Self or third-party assessment (controlled unclassified info)
CMMC L3	Government-led assessment for the most sensitive work
FCL	Sponsored by a customer or cleared prime; months to process
Rule of Two	Two capable small businesses expected → set-aside

Contract vehicles & the channel

"We can't buy you" is the most common no in federal sales. Here is every common way a buyer can say yes, and how to get on it.

VEHICLE	WHAT IT IS	WHO BUYS ON IT	HOW YOU GET ON IT	SPEED
Purchase card	A government credit card for small buys	End users and labs with a card	Nothing beyond SAM registration and a quote	Weeks
GSA schedule (MAS)	GSA's main vehicle, open to almost any agency	Nearly every agency	Your own offer to GSA (months), or a reseller who holds one	Fast once on
GWACs (e.g. NASA SEWP)	Government-wide contracts for IT products and services	Any agency	Through a holder: a reseller or prime partner	Fast once on
Agency IDIQs	An agency's own multi-award contracts; orders go to holders	That agency	Win a seat when it is competed, or team with a holder	Fast for holders
BPAs	Pre-set terms for repeat buys, often off a schedule	The ordering office	Be on the underlying schedule; shape the BPA	Fast once set
OTA consortia	Prototype agreements outside the normal rules	DoD and some civilian agencies	Join the consortium; answer calls with white papers	~6 months
CSOs	Commercial solutions openings for innovative commercial tech	DoD (often DIU)	Answer the open call with a short solution brief	Months
SBIR Phase III	Sole-source follow-on to earlier SBIR/STTR work	Any agency, any money	Hold prior SBIR/STTR work on the same technology	~6 months

HOW A RESELLER SALE WORKS

The agency
A user has the problem; a program office holds the budget.

→

Contracting officer
The only person who can commit money. Orders on a vehicle.

→

Reseller / VAR
Holds the vehicle, takes the order, invoices the government.

→

You, the maker
Supply the product. You still do the selling.

WHICH PATH FITS?

Under $15,000 Purchase card. Find a user with a card and a need.

Buyer has a vehicle Order through a holder of that vehicle: sign a VAR or teaming agreement.

New tech to prove OTA prototype or CSO, with a sponsor who owns the problem.

Prior SBIR work SBIR Phase III, sole source, with any type of agency money.

Repeat demand Your own GSA schedule, once several agencies buy every year.

SIGNED VAR AGREEMENT CHECKLIST

- [ ] Signed reseller (VAR) agreement, not a handshake
- [ ] Products and pricing live on the partner's vehicle catalog
- [ ] Buyer confirmed they can see and order the items
- [ ] Reseller margin built into the government price list
- [ ] One price across every partner and vehicle
- [ ] Deal registration so partners don't compete on your deals
- [ ] TAA country of origin checked for every product
- [ ] Named contact at the partner, and a monthly pipeline review

QUESTIONS TO ASK EVERY BUYER

- Which contracts does your office buy through most?
- Who do you usually order from?
- Is there a BPA or agency IDIQ we should know about?
- Could this be a purchase card buy, or under $350,000?
- Would an OTA, CSO or SBIR Phase III fit this better?

RULES OF THUMB

- Sign at least two vehicle paths for every key buyer.
- Get your own GSA schedule only when repeat demand justifies it.
- Resellers fill orders. They rarely create demand.

Clearances, FOCI & the DD254

Classified work has pass/fail requirements that take months to meet. Venture-backed companies hit FOCI more often than they expect. Start here, early.

THE PATH TO A FACILITY CLEARANCE

1. **A classified need**
   A government customer or cleared prime has classified work that requires you. You cannot apply for an FCL on your own.
2. **Sponsorship**
   That customer or prime sponsors your company to DCSA, the agency that processes facility clearances.
3. **Prepare the company**
   Appoint a facility security officer (FSO), identify key management personnel who must be cleared, and set up security procedures.
4. **Declare foreign interests**
   Report foreign ownership, investors, board members, debt and revenue (form SF-328). This is where FOCI surfaces.
5. **Mitigate FOCI if needed**
   DCSA decides what is required, from a board resolution up to a security control agreement, special security agreement or proxy agreement.
6. **FCL granted, then the DD254**
   The classified contract arrives with a DD254 setting its security requirements. Primes issue DD254s to cleared subcontractors.

TERMS

FCL	Facility clearance: the company may access classified information
PCL	Personnel clearance for an individual
FSO	Facility security officer, required for a cleared company
FOCI	Foreign ownership, control or influence
DD254	The security requirements for a classified contract
DCSA	Defense Counterintelligence and Security Agency
NISPOM	The rules for cleared industry (32 CFR Part 117)

GAP QUESTIONS TO ANSWER IN RESEARCH

- [ ] Is the work classified? At what level?
- [ ] Who will sponsor our FCL: the customer or a cleared prime?
- [ ] Do we have foreign investors, LPs with rights, board seats or debt?
- [ ] Who will be our FSO, and which managers must be cleared?
- [ ] Can we meet the expected DD254 by award (facility, people, safeguarding)?

COMMON MISTAKES

- Waiting for the RFP to start. FCLs take months.
- Assuming foreign money in the cap table doesn't count.
- Forgetting that, as the prime, you issue DD254s to your subs.

FOCI MITIGATION, FROM LIGHTEST TO HEAVIEST

Board resolution

The foreign investor holds a minority stake with no right to a board seat. The board formally excludes them from classified information.

Security control agreement

The foreign investor has board representation but not control. Adds a cleared outside director and controls.

Special security agreement

The foreign investor effectively owns or controls the company. Requires outside directors; some information may need extra approval.

Proxy agreement or voting trust

The foreign owner's voting rights are handed to cleared U.S. citizens. The most restrictive option.

Before taking foreign money, review board seats, voting rights, information rights and side letters with counsel. They decide which mitigation DCSA will require.

Federal acronym decoder

The words you'll hear in federal sales, in plain English.

ATO Authority to Operate
An agency's formal approval to use a specific IT system. Needed in addition to FedRAMP for cloud software.

Award
The government's formal decision to give a contract to a company.

Best value
An evaluation in which the government can pay more for a better technical solution, rather than simply choosing the cheapest.

CAGE code
A five-character ID for your company, assigned automatically when you register in SAM.gov.

Capability statement
A one-page summary of what your company does, its codes and its past work. The federal business card.

Capture
Everything you do to position for a specific opportunity before the bid is released.

Champion
A person inside the government who wants your solution to succeed and will push for it internally.

CLIN Contract line item number
Each priced item in a contract. Your pricing has to fit into these.

CMMC Cybersecurity Maturity Model Certification
DoD's cybersecurity certification for contractors that handle defense information. It is being phased into contracts.

Color of money
The type of appropriation, such as O&M (one year), RDT&E (two years) or Procurement (three years). It decides what the money can buy and when it expires.

Competitive range
The shortlist of proposals the government decides to hold discussions with.

Compliance matrix
A table that maps every instruction and evaluation factor in a solicitation to where your proposal answers it.

Continuing resolution CR
A stopgap law that funds the government at last year's levels when Congress hasn't passed the full-year budget. It generally bars new programs.

Contract vehicle
An existing, already-competed contract that agencies use to buy from approved companies, such as a GSA schedule, SEWP or a BPA. No vehicle means no easy purchase.

Contracting officer CO / KO
The only government official who can legally sign, change or end a contract.

COR Contracting officer's representative
The person who oversees your work day to day. They can't change the contract.

CPARS
The government's system for rating contractor performance. Future evaluators read it.

DCAA Defense Contract Audit Agency
The DoD agency that audits contractor costs and accounting systems, especially on cost-reimbursable contracts.

DD254 Contract Security Classification Specification
The form attached to a classified contract that sets its security requirements: clearance level, safeguarding and what cleared staff can access. Primes issue DD254s to cleared subcontractors.

Debrief
A meeting after an award where the government explains how your proposal was scored. Always ask for one.

Discussions
Back-and-forth negotiation between the government and shortlisted bidders before final revisions.

FCL Facility clearance
A determination that a company can access classified information. It must be sponsored by a government customer or a cleared contractor, and is processed by DCSA.

FedRAMP
The government-wide security authorization program for cloud services. Usually required before an agency can use your cloud product.

Fiscal year FY
The federal budget year, which runs from October 1 to September 30. FY27 started on October 1, 2026.

FOCI Foreign ownership, control or influence
Foreign investors, owners or board members who could affect a cleared company. FOCI must be mitigated before a facility clearance can be granted.

Go/No-Go
The internal gate where a team decides, on evidence, whether to spend money on a proposal. Stage 3 of the SFV9 Bid Path.

GSA schedule Multiple Award Schedule (MAS)
GSA's main contract vehicle, which almost any agency can order from.

IDIQ / BPA
Contracts with flexible quantity and timing. The government places individual orders (task orders) against them.

Incumbent
The company currently doing the work. Customers rarely switch without a clear reason.

ITAR / EAR
U.S. export control rules for defense articles (ITAR) and dual-use technology (EAR). They limit who can work on a program, including foreign national staff.

J-books Justification books
Detailed budget documents published with the President's Budget, explaining what each program is funded to do.

Federal acronym decoder

The words you'll hear in federal sales, in plain English.

LPTA Lowest price technically acceptable
An evaluation in which the cheapest proposal that meets the minimum requirements wins.

Micro-purchase threshold $15,000
Below this amount, purchases can generally be made with a government purchase card and minimal competition.

Modification
A formal change to a contract, signed by the contracting officer.

NAICS
Industry codes that classify what your business does. They also determine whether you count as a small business.

NDAA National Defense Authorization Act
The annual law that sets defense policy and authorizes programs, usually signed in December. It often creates new authorities and pilot programs.

Option year
An additional year the government can choose to add to a contract. It isn't guaranteed.

OTA Other Transaction Authority
A flexible agreement, outside the normal procurement rules, often used for prototypes.

Past performance
Your track record on similar work, and a scored part of most evaluations.

POM Program Objective Memorandum
DoD's internal plan that sets budgets about two years ahead. If your program isn't in it, it isn't in the budget.

Prime
The company that holds the contract directly with the government.

Program manager
The government official responsible for a program and its budget.

Protest
A formal challenge to an award by a losing bidder, often filed with GAO.

Recompete
A new competition for the work when the existing contract ends.

Report language
Direction written into congressional committee reports. It isn't law, but agencies follow it, and it can steer attention and money.

RFI Request for Information
Market research. It doesn't lead directly to a contract, but your answers shape the eventual bid.

RFP / RFQ Request for Proposal / Quote
The formal solicitation. RFQs are usually simpler and focused on price.

Rule of Two
If the contracting officer expects at least two capable small businesses to bid at a fair price, the work is generally set aside for small business.

SAM.gov
The government's registration and opportunity system. You must be registered to be paid.

Section L / M
In an RFP, Section L says how to write your proposal and Section M says how it will be scored.

Set-aside
Work reserved for small businesses or for a category such as 8(a), HUBZone, women-owned or service-disabled veteran-owned businesses.

Section 889
A law that bars the government from buying, or contracting with companies that use, certain Chinese telecommunications and video surveillance equipment.

SEWP
A NASA-run contract vehicle used across government to buy IT products.

Simplified acquisition threshold $350,000
Below this amount, simpler and faster buying procedures apply.

Sources sought
A notice asking which companies could do the work. Often used to decide whether to set the work aside.

Subcontractor
A company that works under the prime contractor, not directly for the government.

TAA Trade Agreements Act
Requires products on many contracts to come from the U.S. or designated countries.

Task order
An individual order placed against an IDIQ or similar vehicle.

Teaming agreement
A contract between companies bidding together that sets out roles and workshare.

VAR Value-added reseller
A partner that resells your product, often through a contract vehicle it holds. A signed VAR or channel agreement is what lets a buyer actually order.

UEI Unique Entity ID
Your company's government ID, assigned in SAM.gov.